- In the first round of dis-investment it was decided to (a) offer a randomly structured portfolio of shares each with notional reserve price based on a complex valuation procedure and (b) to off-load the shares to institutional investors as a buffer between the Government and the stock market.

Statement II: CORRECT—The Government has decided to permit up to 49% disinvestment of equity so that the government would continue to hold 51%. A firm is legally regarded as a public sector firm in India if the Government holds more than 50% of equity.

A company so classified is then subject to all the rules, regulations, procedures, etc., connected with government ownership. Thus, a firm in which government ownership goes below 50% can be effectively regarded as being in the private sector even if the government has a dominant share holding.

Difficulty Level: Tough

51. Statement I: CORRECT—Raw material used by industries should be cheap and easy to transport. Industries based on cheap, bulky and weight-losing material (ores) are located close to the sources of raw material such as steel, sugar, and cement industries. Perishability is a vital factor for the industry to be located closer to the source of the raw material. Agro-processing and dairy products are processed close to the sources of farm produce or milk supply respectively.

    Statement II: CORRECT—Labour supply is an important factor in the location of industries. Some types of manufacturing still require skilled labour. Increasing mechanisation, automation and flexibility of industrial processes have reduced the dependence of industry upon the labours. Industries which use more power are located close to the source of the energy supply such as the aluminium industry. Earlier coal was the main source of energy, today hydroelectricity and petroleum are also important sources of energy for many industries.

52. Statement I: CORRECT—The artisans use local raw materials and simple tools to produce everyday goods in their homes with the help of their family members or part time labour. Finished